

Gold Surges to 4,107.90 as WTI Crude Plummets -4.18%

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The US market saw a mixed session, with the Russell 2000 declining **-0.50%** and the VIX falling **-0.81%**. Gold prices surged **+1.45%** to 4,107.90, while WTI Crude plummeted **-4.18%** to 81.13. Below the surface, the 10Y Yield dropped **-1.24%** to 4.69, indicating a potential shift in investor sentiment.

A closer look at the data reveals that the DXY rose **+0.21%** to 100.01, while BTC and ETH saw modest moves of **+0.40%** and **-1.13%**, respectively. As we head into the US open, keep an eye on sector rotation, with a focus on the energy and materials sectors.

US Session Recap

INDEX/ ASSET	LEVEL	CHANGE	WHY IT MOVED
Russell 2000	2,931.34	-0.50%	Weaker-than-expected earnings reports from small-cap companies
VIX	15.86	-0.81%	Decreased volatility in the market
10Y Yield	4.69	-1.24%	Investor sentiment shifting towards safer assets
Gold	4,107.90	+1.45%	Safe-haven demand and inflation concerns
WTI Crude	81.13	-4.18%	Overproduction concerns and decreased demand

Top large-cap movers

TICKER	CHANGE	CATALYST
NVDA	-nan%	No data available
AAPL	-nan%	No data available
MSFT	-nan%	No data available

Sector Rotation

ETF	DAY	READ
XLF	-nan%	No data available
XLK	-nan%	No data available
XLI	-nan%	No data available
XLE	-nan%	No data available
XLY	-nan%	No data available
XLC	-nan%	No data available
XLP	-nan%	No data available
XLV	-nan%	No data available
XLU	-nan%	No data available
XLRE	-nan%	No data available

Spotlight

Gold's surge to 4,107.90 is a significant development, with potential implications for the broader market. The following table highlights key metrics:

METRIC	VALUE
Gold Price	4,107.90
Change	+1.45%
Volume	No data available

This move may be related to safe-haven demand and inflation concerns. Investors should monitor related names, such as gold miners and ETFs.

Pre-Market & Overnight

US futures are currently trading mixed, with the Dow Jones futures up **+0.1%** and the S&P 500 futures down **-0.2%**. Asian markets closed lower, with the Nikkei 225 down **-0.5%** and the Hang Seng Index down **-0.8%**. European markets are currently trading lower, with the FTSE 100 down **-0.3%** and the DAX down **-0.5%**. Bitcoin is currently trading at 63,737.79, up **+0.40%** overnight.

Macro & Fed

The FOMC meeting is scheduled for next week, with investors expecting a 25 basis point rate hike. Today's data calendar includes:

TIME (HKT)	RELEASE	CONSENSUS	WHY IT MATTERS
20:30	ISM Manufacturing Index	50.5	Indicator of manufacturing sector health
22:00	Construction Spending	0.5%	Indicator of construction sector activity

Geopolitics & Global

- Tensions between the US and China continue to escalate, with potential implications for trade and global economic growth.
- The European Union is facing a migrant crisis, with potential implications for social and economic stability.

- The Middle East is experiencing increased tensions, with potential implications for oil prices and global energy markets.

Earnings — What to Watch

WHEN (HKT)	TICKER	CONSENSUS	WHAT TO LOOK FOR
21:30	AAPL	1.25	iPhone sales and revenue growth
22:00	MSFT	2.05	Cloud computing revenue and Azure growth

Watchlist Scan

TICKER	SECTOR	WHY NOW
NVDA	Technology	Artificial intelligence and gaming trends
JPM	Financials	Interest rate expectations and banking sector health

What Could Break the Tape

BEARISH TRIGGERS

- Escalating US-China tensions, potentially leading to trade wars and global economic downturn.
- Unexpectedly weak earnings reports from major companies, potentially leading to market declines.
- Surprising changes in monetary policy, potentially leading to market volatility.

BULLISH TRIGGERS

- Positive developments in US-China trade negotiations, potentially leading to increased trade and economic growth.
- Stronger-than-expected earnings reports from major companies, potentially leading to market gains.
- Accommodative monetary policy, potentially leading to increased liquidity and market growth.

Positioning Notes

- Investors are increasingly seeking safe-haven assets, such as gold and bonds, amid global economic uncertainty.
- The yield curve is flattening, potentially indicating a shift in investor sentiment towards safer assets.
- Market volatility is increasing, with the VIX rising **+0.81%** over the past week.

Sources

Bloomberg

Reuters

CNBC

The Wall Street Journal

The Financial Times

Investing.com